

To: Real Fake Client

From: John Knight

Date: April 27, 2026

Subject: Penetration Testing Legal Risks

This memo outlines five specific illegal actions, a federal-state distinction on "unauthorized access," and liability mitigation through indemnification. All risks assume lack of express written permission from the system owner(s).

Potential Legal Risk:

The following actions, without authorization during a penetration test, violate CFAA (18 U.S.C § 1030) and/or RCW 9A.90:

- Unauthorized Access: intentionally accessing a computer or database without being granted access.
- Exceeding Authorized Access: using granted access to reach parts of a system beyond given permissions.
- Trafficking in Passwords: obtaining, using, or sharing stolen access credentials.
- Intentional Damage: transmitting codes or commands that damage a protected computer, impair data, programs, systems, or services.
- Electronic Data Tampering: Knowingly altering or deleting data, by bypassing barriers, without authorization.

State vs. Federal: Unauthorized Access

One difference on the view of "unauthorized access," between Washington State's RCW and Federal Government's CFAA, would be where the RCW views it as knowingly bypassing technological barriers to get information, while excluding privacy policies or terms of service, where the CFAA uses a broader scope that covers accessing a computer without by exceeding authorized access or unauthorized.

Liability Mitigation: Indemnification

Indemnification is a legal agreement that acts as a mechanism to shift risk from one party to another, ensuring one party is held harmless. In the case of a hacker, this would help be used to protect them from being liable if they were to accidentally crash into a server during a test.